The P/E ratios of well established and financially sound companies are high and as the returns are high for weaker companies the P/E ratio is low since they are riskier investments.

The P/E ratio would be high so long as the investing public has faith in a company's ability to grow and to earn a return or an appreciation in its share price. It will fall as soon as this confidence in the earning capacity of the company falls. This is why prices rise dramatically in boom periods. In periods of depression, they fall.

The price an investor pays for a share is based on the future prospects of a company and its anticipated earnings. As such, there is a flaw in P/E ratios when current market price is divided by past earnings per share. Ideally, the current market price should be divided by the current likely earnings per share. But then that figure is difficult to get.

The P/E ratio reflects the reputation of the company and its management and the confidence investors have in the earning potential of the company.

An investor may well ask what should be the P/E ratio of a company; at what price should one purchase the share of a company. At the height of the 1992 scam in India, the P/E of several companies such as Hindustan Lever Ltd, ITC Ltd., etc. were in excess of 100! The average P/E of companies quoted on the Bombay Stock Exchange averaged 80. Even a year after the scam the average P/E was around 37. This was one of the widely-cited reasons for foreign investors not descending in droves on the Indian stock markets. It was argued that the average P/E of shares in developed economies like the United States was then around 20. This offered a yield of 5% which was about 2% above the rate of inflation. On that basis, if one assumed that the rate of inflation in India is around 10%, then the P/E of shares one wished to purchase should be 8. This would result in a yield of 12.5% which would be 2.5% above the rate of inflation. As inflation falls, the P/E will rise and the yield will fall. In a country like India, interest rates have begun to fall dramatically. What should the P/E be now. I'd like to introduce, at this juncture, a school of thought promoted by those I term the developing economy proponents. They argue that the average P/E of shares in developing economies, i.e. in countries in South East Asia, average 45. They claim that P/Es have to be higher in developing economies as companies are growing and the high P/Es reflect this growth. As companies mature, earnings will stabilize and the P/Es fall.